H1 Category & Market Insights - Dairy Portfolio

Key Trends, Growth Drivers & Strategic Opportunities

Prepared by:

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Methodology based on Nielsen retail audit and GfK panel structure
All figures are illustrative and prepared for portfolio purposes

About the Analyst / My Role

Who I am

Data & Business Analyst with 10+ years of experience in FMCG & Healthcare, specialising in category management, market analysis, and insight generation across retail and e-commerce channels.

My role in this project

- Led the full analysis of market, category, and channel performance using multi-source datasets (GfK, Nielsen, CRM, sales data).
- Consolidated and structured raw data into a unified analytical view.
- Built all visualisations, dashboards, summaries, insights, and recommendations included in this report.
- Developed a clear narrative storyline for senior stakeholders, focusing on growth drivers and risks.
- Applied category management frameworks to identify opportunities in channels, retailers, and segments.
- Delivered insight-driven outputs similar to internal business reviews used by commercial and category teams.

Tools & Skills Used

- **Data & BI**: Excel (Pivot, Power Query), Power BI, data modelling, data cleaning
- **Market Analytics**: Nielsen/GfK analysis, category & channel performance, market structure
- **Business Skills**: Insight generation, storytelling, category management logic, opportunity spotting
- **Techniques**: Trend analysis, segmentation, decomposition, comparative analytics, KPI reporting

Approach

From three data sources to a decision-ready storyline

DATA

Nielsen Retail Audit
Category share, pricing, promo pressure, distribution and shelf metrics

GfK Panel
Household consumption, penetration, frequency, channel mix, consumer confidence

Internal Sales & CRM
Volume and value by brand, SKU, channel and retailer; promo mechanics and uplift

Excel (Power Query, pivot tables) · SQL

ANALYSIS

YoY and YTD performance against plan

Channel value growth and mix shifts

Customer-level deep dives - NKA, LKA, e-commerce, proximity

Distribution, velocity and assortment

Share change decomposed into penetration, frequency, price, promo and mix

Excel · Power BI (DAX measures)

OUTPUT

Growth engines and underperforming segments identified

Root causes separated from symptoms

Recommendations tied to commercial priorities

A storyline built for decision makers, not for analysts

Power BI · PowerPoint

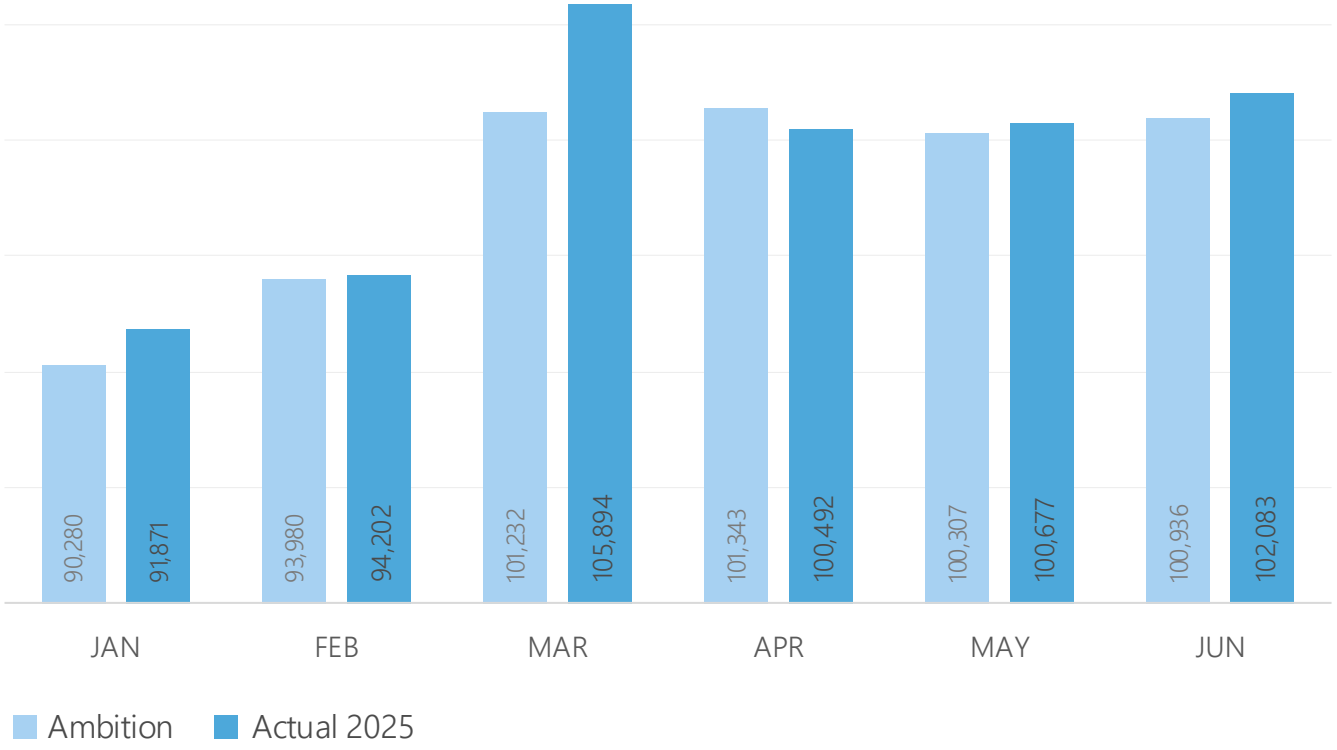
Decomposing share change into penetration, frequency, price, promo and mix is the step that turns "volume is up 8%" into "here is which lever moved, and which did not."

Market & Category Performance - H1 2025

Where H1 growth came from, and why it landed below plan - by channel, by retailer, and by category segment.

H1 Performance Overview

H1 2025 closed with strong +7% YTD growth vs last year, supported by solid momentum in Q1 (+6% vs +4% plan) and continued expansion in Q2 (+7% vs +10% plan).
The market remains resilient, with consistent monthly performance despite a slight gap vs plan in Q2.



Q1 Performance

+6% actual vs **+4% plan**

Outperformed expectations

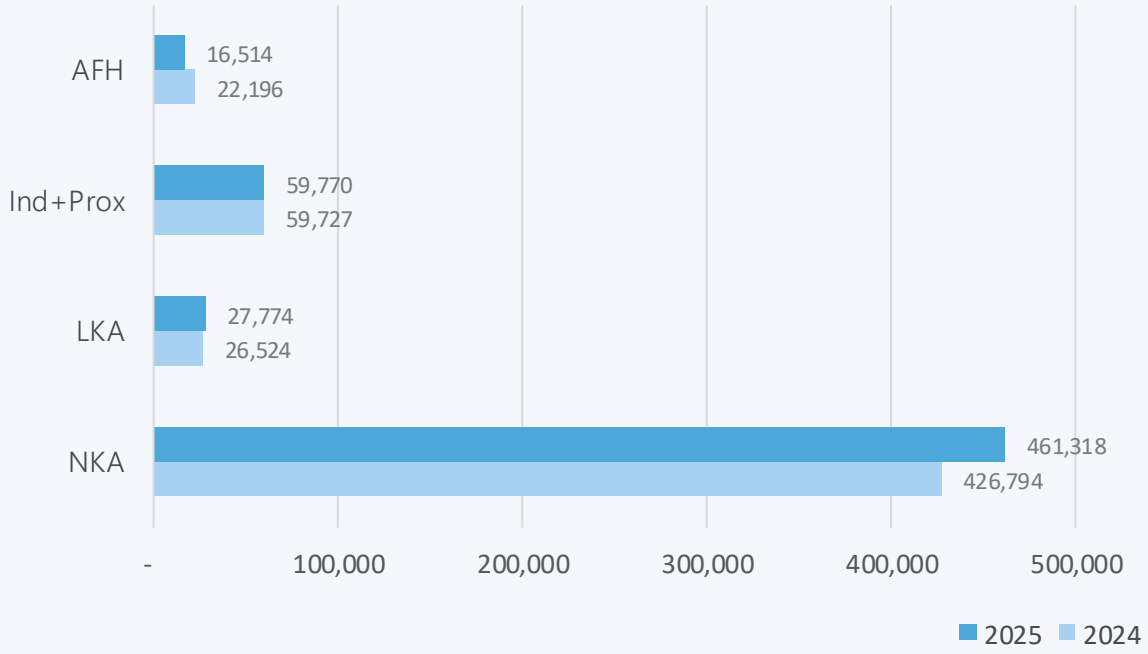
Q2 Performance

+7% actual vs **+10% plan**

Strong results, slightly below target

Channel Performance Overview

YTD growth of **+8%** remains below the **+10%** target, driven by underperformance in AFH and LKA. NKA is the only channel delivering growth fully aligned with expectations.



NKA remains the core growth engine, exceeding forecast and contributing the majority of incremental volume.

AFH and LKA continue to underperform, dragging YTD growth below target. Key drivers include weaker assortment depth and activation in AFH, and visibility gaps and execution issues in LKA.

Required actions:

- Strengthen assortment & activation plans in AFH
- Improve shelf visibility & in-store execution in LKA
- Capture incremental volume in Industrial & Proximity to offset channel weakness

Top Retail Growth Drivers

Three key retailers — ExiFive, Magnora, and Lentra — are the primary engines of YTD growth, contributing the majority of incremental volume.
E-commerce continues to deliver strong percentage growth, although its absolute contribution remains limited due to smaller base size.

Key Retailers Driving Incremental Volume

ExiFive

+18% YTD growth

Contribution: +12.9m

Strong recovery and expanded distribution drive above-market growth.

Magnora & Lentra

+23% YTD growth

Contribution: +41.2m

Largest contributors to total growth, supported by assortment depth and higher traffic vs channel average.

E-Commerce

+26% YTD growth

Contribution: +0.85m

Fastest-growing channel, though contribution remains modest due to a much smaller base.

Top 4 NKA Performance

Although all key NKA clients show positive YTD growth, most underperform the total category, indicating missed opportunities in assortment, visibility and activation. Lentra is the only retailer significantly outperforming the category base.

Pyatona

YTD: +18%

VG CAF: +1%

Stable growth driven by base recovery; still behind category pace.

Dixa

YTD: +14%

VG CAF: +7%

Solid uplift, supported by expanding shelf presence.

Magnora

YTD: +18%

VG CAF: +6%

Strong execution but still below category-level momentum.

Lentra

YTD: +42%

VG CAF: -5%

Exceptional performance driven by improved promo intensity and distribution.

Lentra delivers exceptional growth, driven by stronger assortment and promo execution.
ExiFive, Magnora and Dixa grow in line with the market but fail to match total category momentum, signalling the need for improved shelf visibility, pricing alignment and targeted activation.

* vertical growth: may 2025 vs may 2024

Category Performance Summary

Category growth is driven primarily by Drinking Yoghurts and Curd + Sour Cream, together contributing over 70% of total incremental volume. Milk/LMT shows stable but moderate growth, signalling limited headroom versus other segments.

Drinking Yoghurts

Donissimo: +17% (8.251m)
Activea: +11% (2.701m)
Total contribution: +14,097 (+7%)

Largest growth engine, driven by strong brand equity and superior promo effectiveness.

Milk / LMT

ProstoMilk: +5% (6.068m)
BioForma: +4% (370m)
Total contribution: +6,327 (+5%)

Steady but slower growth, with limited category expansion vs. other segments.

Curd + Sour Cream

Danoria: +15% (2.705m)
BioForma: +7% (1.517m)
Total contribution: +14,578 (+10%)

High-potential segment, outperforming total category growth and delivering strong value contribution.

Drinking Yoghurts and Curd + Sour Cream deliver the majority of growth and should remain strategic priorities. Milk/LMT requires targeted activation to unlock additional potential, as it trails behind other segments

H1 Key Takeaways

Growth driven by three key clients

ExiFive, Magnora, and Lentra contribute **65%** of YTD incremental volume, remaining the core engines of growth across NKA.

Underperformance across secondary channels

LKA, Indirect, and smaller NKA clients are delivering **below forecast**, creating a **-2pp drag** on total growth momentum and limiting acceleration vs target.

E-commerce on track

Digital channels perform **in line with expectations** providing stable growth and maintaining share, but not yet unlocking additional upside.

Category growth below plan

Focus categories are expanding but **lag behind planned trajectory**, driven primarily by Tyana, which remains below target due to weaker baseline momentum.

Market Context - Macro, Shopper and Channel

The conditions behind the numbers: a recovering consumer, a shopper who is measurably less loyal, and a channel mix still shifting toward proximity and e-commerce.

Positive macro conditions expected to support retail and FMCG growth in 2025

Retail turnover growth now aligns with rising disposable income, supporting category expansion.

+1.6%

GDP Growth

Early-stage recovery following previous year's contraction; still moderate but supportive for consumption.

2.8%

Inflation Rate

Slowing inflation helps restore real purchasing power, supporting everyday FMCG categories.

+3.8%

Real Disposable Income

Strengthening household budgets increase ability to spend on FMCG staples and dairy.

+3.8%

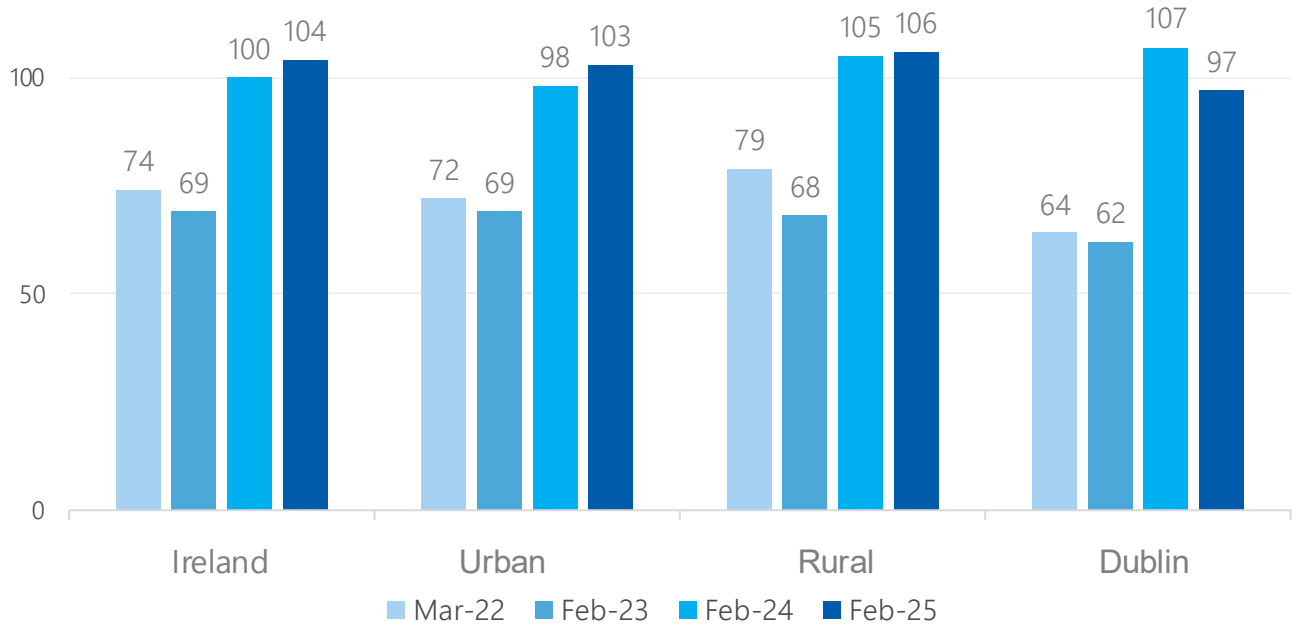
Retail Turnover

Retail turnover returning to steady trajectory, driven by improved consumer activity.

Illustrative market data prepared for portfolio purposes

Confidence Turns Positive Across All Segments

Consumer confidence recovered across all segments, with Rural areas showing the strongest momentum.



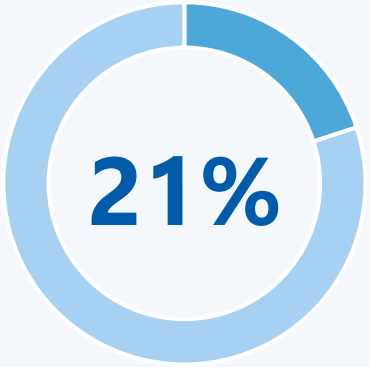
Rural areas lead confidence recovery (CCI 106), indicating strong resilience and higher spending potential. Urban confidence improves steadily, while Dublin softens to 97 after last year's peak, signalling caution among premium shoppers and potential pressure on higher-priced categories.

Rising confidence across all segments supports stable FMCG demand, particularly in essential categories.

Illustrative consumer confidence data, structured to GfK CCI methodology

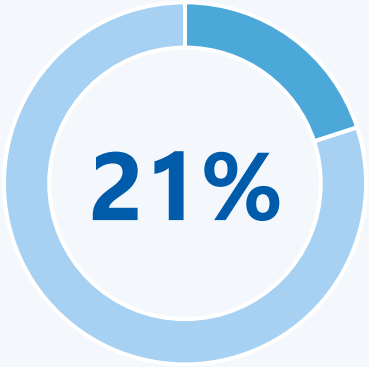
Consumers More Exploratory, Less Brand-Loyal

Shopper behaviour has shifted materially since 2022, with declining brand loyalty, broader repertoires, and more frequent store switching.



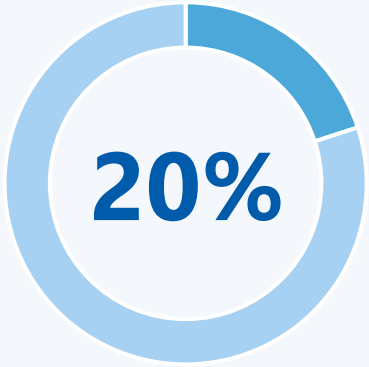
Brand Growth

From 222 to 268 brands per household



SKU Expansion

From 381 to 461 SKUs purchased



Store Visits

From 5.9 to 7.1 stores per month

Consumers now engage with 21% more brands, purchase 21% more SKUs, and visit 20% more stores per month - indicating lower brand loyalty and higher switching risk, especially in impulse and convenience-led missions.

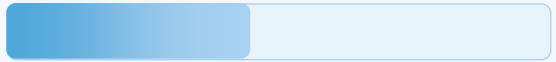
This shift increases pressure on brands: winning in a fragmented landscape now requires stronger in-store visibility, tighter activation plans, and broader yet efficient assortments.

Rising repertoire size also signals higher promo switching, increasing the need for value-based differentiation beyond discount mechanics.

Source: GfK

Promo Pressure Increasing Across Channels, Led by Convenience

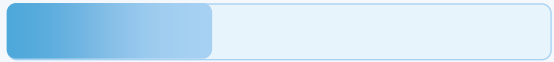
Convenience stores lead with the highest promo share (45%), highlighting growing price sensitivity and the need for competitive in-store activation.



45%
Promo Share

Convenience Stores

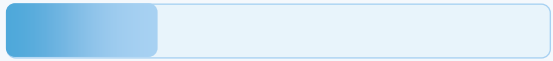
Highest promo reliance and strongest growth; price-sensitive missions drive high elasticity.



38%
Promo Share

E-Commerce

Strong performance despite lower promo intensity; growth fueled by assortment breadth and price transparency.



28%
Promo Share

Supermarkets

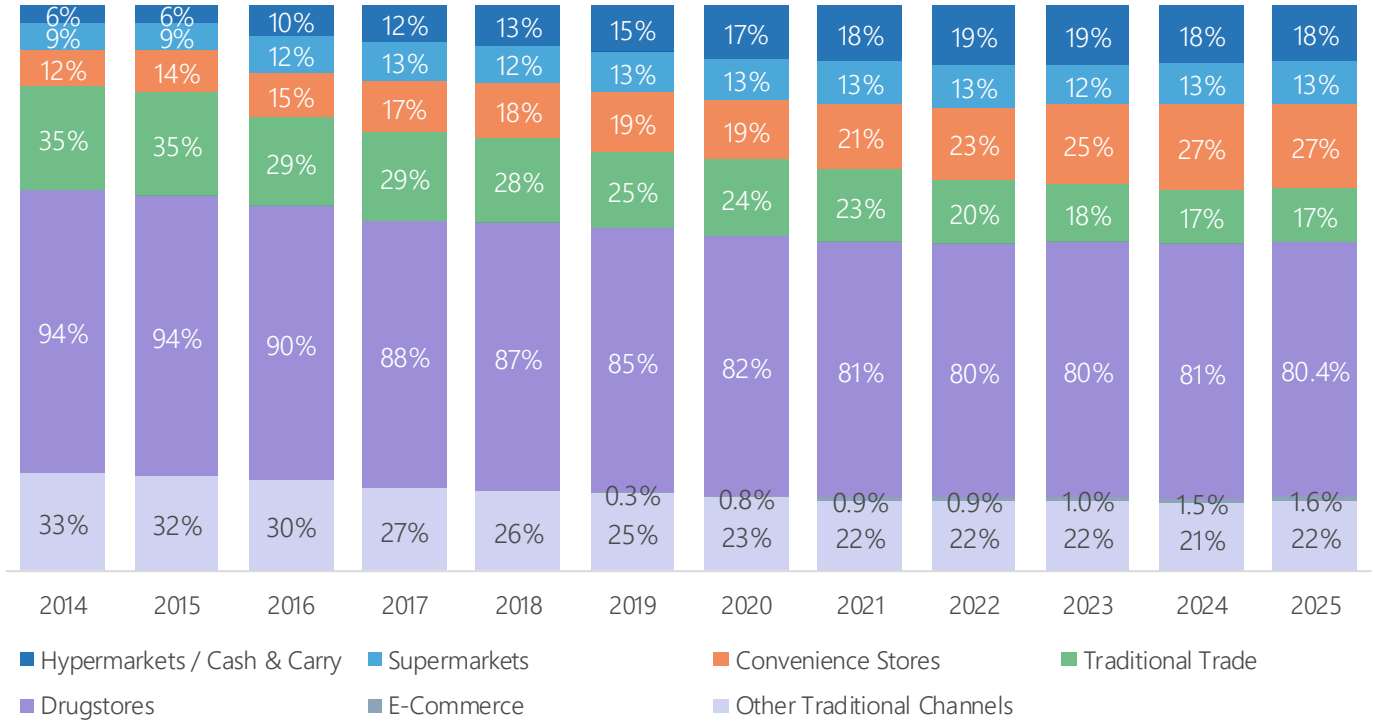
Lower promo dependency; stable and predictable performance with more loyal shopping missions.

Promo-driven behaviour is most pronounced in convenience formats, where smaller baskets and higher price sensitivity make promotions a key lever for maintaining share. Rising promo intensity also elevates margin pressure, requiring more efficient promo mechanics and stronger in-store execution.

Source: GfK

Channel Growth Dynamics

Convenience and e-commerce remain the fastest-growing channels as shoppers shift toward faster, mission-based trips. Hypermarkets and traditional trade continue to lose relevance, driving structural reallocation of value across the market.



Key Channel Value Growth (YTD):

- E-Commerce: +32.2% - fastest-growing channel; growth driven by digital access, price transparency, and expanded assortment.
- Convenience: +8.0% - strong incremental trips supported by proximity missions.
- Supermarkets: +5.0% - stable and predictable performance.
- Drugstores: +1.4% - modest recovery driven by health & beauty missions.
- Hypermarkets: -1.4% - continued decline as long trips shift to proximity and e-commerce.
- Traditional Trade: -4.8% - structural erosion.
- Other Channels: -2.1%

E-commerce and convenience now capture most incremental market growth, increasing pressure on in-store visibility, promo efficiency, and digital activation. To secure share in a rapidly shifting channel landscape, brands must adapt portfolio mix, invest in route-to-market optimisation, and strengthen proximity execution.

Source: GfK

NKA Retailer Performance

Pyatona, Perekros, and Magnora remain the key growth engines in NKA, driven primarily by higher conversion and average ticket increases. While turnover momentum is solid across most medium and small-format operators, traffic recovery remains weak, reinforcing the market shift toward proximity and everyday shopping missions. Hypermarkets continue to underperform, with declining LFL and sustained traffic erosion.

Retailer	Format	Net Turnover Growth	LFL Revenue	Avg Spend	Traffic
Pyatona	MM	+22%	-1%	+1%	-2%
Perekros	HM	+23%	+6%	+3%	+3%
Magnora	SM	+6%	+3%	+5%	-2%
Lentra	HM	+9%	-4%	0%	-4%
Auchero	SM, HM	-3%	-5%	-3%	-2%

Top-performing NKA retailers are delivering growth mainly through **average check expansion**, not increased footfall — signalling stronger price/mix contribution over shopper recovery. Hypermarkets remain structurally challenged, with negative LFL and declining traffic, accelerating the shift toward **smaller, faster, and more mission-focused formats.**

Source: GfK

What to do about it

Close the gap where it opened, not in the core

AFH and LKA are the source of the -2pp drag. NKA is already delivering; pushing harder there will not recover the plan.

Reduce dependence on three accounts

ExiFive, Magnora and Lentra deliver 65% of incremental volume. That concentration is the structural risk behind an otherwise healthy +8%.

Follow the shopper into proximity and e-commerce

E-commerce grew +32% and convenience +8%, while hypermarkets fell -1.4% and traditional trade -4.8%. Route-to-market has to move with them.

Answer repertoire growth with visibility, not deeper promo

Shoppers now buy from 21% more brands across 20% more stores. Promo share is already 45% in convenience - adding more erodes margin without buying loyalty.

Danoria Market Share Trends

National share growth is increasingly Dublin-led, while declining regional performance widens the geographic gap.

Dairy Total Including Milk

+0.8pp

Dublin share growth

-0.5pp

Other regions decline

Dairy Excluding Milk

+0.4pp

Dublin share growth

-0.4pp

Other regions decline

Targeted regional turnaround is required, focusing on assortment relevance, localised promo mechanics, and improved availability to stabilise share outside Dublin.

Source: Nielsen

Category Performance: Dublin

Danoria outperforms in key growth segments, while several categories continue to show structural underperformance.

Outperforming Segments

Curd: Outpacing category driven by broad distribution, strong on-shelf visibility, and competitive pricing.
Butter: Outgrowing the market with robust value growth supported by strong brand equity and premiumisation trends.
Drinking yoghurts: Leading segment performance with consistent share gains and strong competitive positioning.

Underperforming Segments

Sour cream: –25% YoY decline vs a growing category, indicating a widening performance gap.
Spoonable yoghurts: Underperforming due to lower penetration, weaker mix, and reduced promo effectiveness.
Baby dairy: Significant structural decline vs category, driven by lower brand relevance and insufficient competitive activation.

Targeted recovery actions are required in sour cream, spoonable yoghurts, and baby dairy — with a focus on strengthening assortment relevance, optimising price positioning, and rebuilding in-store visibility & activation to stabilise performance and restore segment momentum.

Source: Nielsen

Share Loss Driven by Pricing Gap and Aggressive Competitor Promo

Category grows **+5.8%,** fuelled by aggressive promo activity. Danoria loses share as stronger value offerings from Private Label and Brestellooutcompete ProstoMilk.

Brand	YTD Growth	Share	Share Change	Price/kg
ProstoMilk	+0.1%	31%	-1.8pp	€5.80 (+0.2%)
DVD	+7.5%	17%	+0.3pp	€6.00 (-2.8%)
Brest-Litovsk	+16.6%	12%	+1.1pp	€5.70 (-11.4%)
Private Label	+36%	6%	+1.3pp	€4.80 (+22.6%)

Danoria must intensify promotional efforts, revise pricing strategy, or focus on unique selling propositions to regain momentum.

Source: Nielsen

Activea Share Decline Despite Promo Pressure

Category growth of **+5%** but Activea underperforms significantly, losing –5.0pp share despite heavy promotions and notable price cuts, highlighting weak elasticity and reduced brand pull.

Brand	YTD Growth	Share	Share Change	Price/kg
Activea	-11%	25%	-5.0pp	€5.50 (-9.6%)
Donissimo	+5%	11%	0.0pp	€9.80 (-1.0%)
Epira	+269%	8%	+5.8pp	€8.50 (-0.6%)
Frugello	-12%	7%	-1.3pp	€4.10 (+2.2%)

- Epira is capturing share through strong consumer appeal rather than price cuts, indicating a shift toward functional/value-added propositions over pure discounting.
- Activea's heavy promotions are not translating into growth, signalling brand fatigue and weakened equity.
- Danoria must shift from promo-dependent tactics to strengthening brand relevance and innovation.

Source: Nielsen

Baby Dairy: High Growth Segment, but Tyana Losing Share

The category grows strongly at **+11%** but Tyana significantly underperforms: -7.2% growth and -2.7pp share loss, signalling weak competitiveness in a high-potential segment.

Brand	YTD Growth	Share Change	Price/kg
Aguna	+8.4%	69% (-1.7pp)	€5.50 (-3%)
Tyana	-7.2%	14% (-2.7pp)	€5.20 (+2.3%)
FrutoLina	+34.5%	10% (+1.7pp)	€4.50 (0%)
Pediacare	+270%	4% (+3.1pp)	€15.00 (+7.2%)

Tyana's decline in a rapidly expanding category requires urgent action to restore competitiveness - including revitalised communication, stronger promo mechanics, targeted innovation, and improved in-store visibility.

Source: Nielsen

Strategic Recommendations

Accelerate Retail Expansion Using Favourable Market Conditions

Leverage strong macro recovery and rising consumer confidence to accelerate distribution gains and strengthen presence in high-potential regions, ensuring Danoria captures disproportionate share of market growth.

Revitalise Underperforming Brands

Activate turnaround strategies for Activea and Tyana by reducing reliance on deep promotions, enhancing brand relevance, and rebalancing the value proposition to restore equity and improve conversion.

Strengthen Promotional Strategy in Key Growth Channels

Rebuild competitive advantage in promo-sensitive channels (Convenience, Sour cream) by optimising mechanics, improving uplift efficiency, and deploying data-led promo plans aligned with price elasticity and consumer behaviour changes.

Expand Regional Footprint Beyond Dublin

Replicate Dublin's strong performance through targeted in-store visibility, improved activation, and tailored assortment strategies to address widening geographic share gap and reverse regional decline.

Address Channel Underperformance

Prioritise corrective actions for LKA, Indirect, and weaker NKA clients to stabilise share, improve execution quality, and recover the -2pp drag on overall growth momentum.

Capture Growth Opportunity in Baby Dairy

Reposition Tyana to win in a +11% growth segment via stronger consumer communication, improved functional/value cues, and more effective promo strategy that enhances penetration and in-store impact.

Executive Summary

Market

- Strong macro recovery (+1.6% GDP, +3.8% RDI) continues to support retail growth and improve consumer purchasing power.
- Consumer confidence is rising across all segments, with rural areas showing the strongest and most stable improvement.

Category & Consumer

- Category growth is concentrated in three high-potential segments: drinking yoghurts, milk/LMT, and curd.
- Shopper behaviour has shifted: lower loyalty, broader repertoires (+21% brands/SKUs), and more store visits (+20%), increasing the importance of in-store visibility and promo efficiency.

Brands

- Strong performance delivered by Donissimo, Danoria (Curd), and Drinking Yoghurt, outperforming category trends.
- Activea, Tyana, and Sour Cream show structural underperformance and require urgent intervention in pricing, positioning, and promo mechanics.

Channel

- E-commerce and convenience remain the fastest-growing channels, capturing the majority of incremental trips.
- Hypermarkets and traditional trade continue to lose relevance, reinforcing the shift toward proximity formats and digital.

Retailers

- ExiFive, Magnora, and Lentra account for most incremental volume; Lentra in particular shows standout YTD growth.
- Underperformance in LKA and Indirect channels remains a drag on total market momentum, creating a -2pp impact vs target.

Impact Scenarios (What My Insights Can Deliver)

Promo Optimisation

Better alignment of promo mechanics, depth, and frequency can deliver:

→ **+1.5 - 2.5 pp share increase** in sour cream & spoonable yoghurts through improved promo efficiency and reduced over-discounting.

Regional Activation Strengthening

Targeted focus on underperforming regions outside Dublin:

→ **+5 - 7% additional YTD uplift** driven by distribution expansion, improved shelf execution, and tailored promo mechanics.

Category Growth Acceleration

Leveraging functional products, curd, and drinking yoghurts in priority geographies:

→ **+10 - 12% incremental potential** in Tier-1/2 cities through assortment optimisation, visibility, and activation.

E-Commerce Acceleration Plan

SKU rationalisation + targeted digital activation + improved search & promo mix:

→ **+15 - 20% channel uplift** within 6–12 months by focusing on high-velocity SKUs and optimised digital shelf.

What I Would Do As Category Manager

Strengthen Priority Channels

- Accelerate proximity & e-commerce expansion to capture fastest-growing missions.
- Optimise assortment for convenience-driven occasions (on-the-go, affordable health, kids).
- Increase in-store activation & visibility in Top-20 stores per chain with measurable ROI.

Upgrade Promo Strategy

- Reduce deep discount dependency in Activea & Tyana through a more efficient promo mix.
- Shift from price cuts → value-added mechanics: functional claims, bundles, cross-category offers.
- Introduce loyalty-based mechanics to improve retention and repeat across digital & offline.

Rebuild Regional Momentum

- Scale Dublin playbook (distribution + visibility + pricing discipline) across regional clusters.
- Strengthen physical availability: shelf presence, facings, planogram compliance.
- Launch region-specific SKUs tailored to local income & taste preferences (e.g., affordable LMT, kids).

Reinforce Brand Roles

- Activea → Rebuild functional value narrative: gut health, science-backed benefits.
- Tyana → Reposition pricing & messaging to regain competitiveness in fast-growing baby dairy.
- Donissimo → Own the premium “emotional indulgence” territory with pack upgrades & limited editions..